

Analysis Framework

Grade	Position Size
85+	2.5%
80-84	2%
75-79	1.5%
70-74	1%
65-69	0.5%
Less than 65	Avoid

Undervalued Small and Mid Cap (Market Cap < \$10 billion)

Metric	Points
Earnings Trend TTM (shows profitability growth)	First profitable year: 10 points Loss narrowing/Near break-even: 8 points Stable profitability: 5 points Deepening losses: 0 points
Institutional Ownership (In before the big players, but not entering value traps)	25-40%: 10 points 40-60%: 6 points Over 60% or Under 25%: 0 points
P/B vs Industry (shows over/undervaluation compared to industry)	30-60% below peers: 10 points 10-30% below peers: 8 points Equal (within 10%): 5 points Above peers: 0 points
Revenue Growth Trend YoY (shows revenue growth)	Negative to flat to positive: 10 points Explosive +30% growth: 8 points Stable growth: 5 points Declining: 0 points
Margin Expansion (shows company is keeping more money from each sale)	Expanding Over 3% YoY: 10 points Stable by rising: 7 points Flat/Declining: 0 points
Free Cash Flow (shows how much cash the company has left after costs)	Recently turned positive: 10 points Stable: 6 points Negative but improving: 3 points Negative: 0 points

Bonus	Insider activity: 10 points Short interest dropping >10%: 10 points Product/Contract news: 10 points
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Oversold Large Cap (Market Cap > \$10 Billion)

Metric	Points
Forward P/E vs 5y Avg (shows if the market is valuing the company's earnings cheaper or richer than normal) If P/E is unavailable, substitute with net cash flow.	25%+ below 5y avg: 10 points 10-25% below: 8 points Equal or unprofitable with improving net cash flow: 4 points Above or unprofitable with declining net cash flow: 0 points
Revenue Trend (shows increase in revenue)	Turning positive after decline: 10 points Decline slowing by 5%: 8 points Stable growth: 5 points Falling: 0 points
Free Cash Flow (shows how much cash the company has left after costs)	40% increase or negative to positive: 10 points 15-39% increase: 7 points Positive but flat: 3 points Declining: 0 points
Operating Margin Trend (shows ability to generate profits based on operations)	Expanding 2%+ after decline: 10 points Expanding 0.5-1.9% after decline: 7 points Continuously expanding: 5 points Declining: 0 points
Debt/Equity	Under 0.5: 10 points 0.5-0.99: 8 points 1-1.5: 4 points Over 1.5: 0 points
Institutional Ownership (In before the big players, but not entering value traps)	40-80%: 10 points 20-40%: 4 points Under 20% or over 80%: 0 points
Bonus	Insider activity: 10 points Short interest dropping >10%: 10 points Product/Contract news: 10 points

Technical Analysis

Time Frame	Use Case
1Y / 1M	Identify long-term trend & value zones
5D	Check trend reversal, moving average crossovers
1D	Entry/exit timing & volume confirmation

Indicator	How To Use
Support/Resistance Zones	Bounced off long-term support (at least 5%): 8 points Broken through lowest resistance or second support: 6 points Mid-range between support/resistance: 4 points Below support or above highest resistance: 0 points
Chart Pattern	Cup & Handle, Flag, or Ascending Triangle: 7 points Double bottom or Base breakout: 4 points Range-bound but tightening: 2 points Random: 0 points
Price vs MAs	Golden cross with price over 200MA but under 50MA: 8 points Golden cross with price over both 200MA and 50MA: 6 points No cross or price over 50MA: 3 points Death Cross or Price under 200MA: 0 points
RSI (14)	0-30: 7 points 31-45: 4 points 46-69: 2 points Over 70: 0 points
Volume	Rising volume for 3+ green days: 10 points Rising volume (green and red days): 6 points High volume breakouts: 3 points Declining/Flat: 0 points